

About This Edition

It has been an unusual 14 years since the sixth edition of *Security Analysis* was published, shortly before the Great Financial Crisis of 2008–2009. So much has happened over this period that in early 2022 we made the decision to produce a seventh edition. There is much new ground to cover.

The backbone of this edition is the second edition of *Security Analysis*, published in 1940, with only sections we considered obsolete removed. As with the sixth edition, we recruited some of today's leading investors and financial thinkers to comment on the original. By proceeding in this fashion, we hope that readers will gain an appreciation for what has changed since the era of Graham and Dodd and what hasn't, while garnering insight into contemporary practices, innovations, trends, and challenges.

Soon after the sixth edition of *Security Analysis* was published, a major financial crisis ensued that was triggered by significant excesses in the U.S. housing market. Enormous volumes of residential and commercial mortgages had been sliced and diced into various tranches and then securitized for sale to investors. While credit agencies blessed the newfangled securities with investment grade ratings, these instruments were not created with a rainy day in mind; they had never been stress-tested by a widespread and sustained decline in housing prices nationally, which few imagined could happen. When such a decline occurred, these securities plummeted and bloodied the balance